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Reserve Bank of India (Non-Banking Financial Companies - Concentration Risk Management) Directions, 2025 (Updated as on March 10, 2026)

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Introduction

The concentration of exposures to a single counterparty or a group of connected counterparties poses significant risks. The Reserve Bank of India (RBI), while adopting a proportionate approach, recognized the imperative of robust risk management and therefore advised applicable non-banking finance companies (NBFCs) to address concentration of credit / investment by imposing certain regulatory restrictions, fix internal exposure limits to avoid any undesirable concentration in specific geographical locations, and reckon exposure norms as per regulatory prescriptions. Building upon proportionate regulatory approach, the RBI later extended large exposure framework to NBFCs in upper layer.

Accordingly, in exercise of the powers conferred by Chapter III B of the Reserve Bank of India Act, 1934, and all other provisions / laws enabling the Reserve Bank of India ('RBI') in this regard, RBI being satisfied that it is necessary and expedient in the public interest so to do, hereby, issues the Directions hereinafter specified.

Chapter I - Preliminary

A. Short Title and Commencement

1. These Directions shall be called the Reserve Bank of India (Non-Banking Financial Companies - Concentration Risk Management) Directions, 2025.

2. These Directions shall come into effect immediately upon issuance.

B. Applicability

3. (1) These Directions shall be applicable to the following Non-Banking Financial Companies (hereinafter collectively referred to as 'NBFCs' and individually as an 'NBFC'):

(i) NBFC-D registered with the RBI under the provisions of the RBI Act, 1934;
(ii) NBFC-ICC registered with the RBI under the provisions of the RBI Act, 1934;
(iii) NBFC-Factor registered with the RBI under the provisions of the Factoring Regulation Act, 2011;
(iv) NBFC-MFI registered with the RBI under the provisions of the RBI Act, 1934;
(v) NBFC-IFC registered with the RBI under the provisions of the RBI Act, 1934;
(vi) IDF-NBFC registered with the RBI under the provisions of the RBI Act, 1934;

(2) (i) The provisions given in these Directions except paragraph 7, 14, 16, 19, 22 and 23 shall apply to HFC registered with the RBI under the provisions of the NHB Act, 1987;

(ii) The provisions given in Chapter IV shall apply to MGC registered with RBI under the scheme of Registration of Mortgage Guarantee Companies, categorized in Upper layer;

(iii) The provisions given in Paragraph 24 shall apply to SPD registered with the RBI as NBFCs under the provisions of the RBI Act, 1934.

(3) The Directions shall be applicable to NBFCs in Base Layer (NBFC - BL), Middle Layer (NBFC - ML), and Upper Layer (NBFC – UL) subject to category-wise applicability specified in the respective chapters.

Note: The Directions applicable to NBFC-BL shall also apply to NBFC-ML and NBFC-UL, and those applicable to NBFC-ML shall further apply to NBFC-UL, unless stated otherwise.

(4) These Directions are not applicable for the following:

(i) NBFC-P2P registered with the RBI under the provisions of the RBI Act, 1934;
(ii) NBFC-AA registered with the RBI under the provisions of the RBI Act, 1934;
(iii) CIC registered with the RBI under the provisions of the RBI Act, 1934;
(iv) NOFHC registered with the RBI as NBFC under the provisions of the RBI Act, 1934.
(v) 'NBFC not availing public funds and not having any customer interface', and
(vi) 'NBFCs-BL having customer interface but not availing public funds'.

Note: The applicability under these Directions is in line with the regulatory structure for NBFCs as set out in Reserve Bank of India (Non-Banking Financial Companies – Registration, Exemptions and Framework for Scale Based Regulation) Directions, 2025.

C. Definitions

4. In these Directions, unless the context states otherwise, the terms herein shall bear the meaning assigned to them in the ensuing paragraphs.

(1) "**Control**" means the right to appoint majority of the directors or to control the management or policy decisions exercisable by a person or persons acting individually or in concert, directly or indirectly, including by virtue of their shareholding or management rights or shareholders' agreements or voting agreements or in any other manner (Clause (27) of Section 2 of the Companies Act, 2013).

(2) "**Eligible capital base**" means Tier 1 capital as defined at paragraph 4(8) of these Directions.

(3) "**Group of connected counterparties**" means two or more (natural or legal) persons who satisfy at least one of the following conditions:

(i) **Control relationship:** one person directly or indirectly, has control over the other(s), or such persons are under the common control of a third party (irrespective of whether the NBFC has exposure to the third party or not). Control relationship criteria is automatically satisfied if one entity owns more than 50 per cent of the voting rights of the other entity.

(ii) **Economic interdependence:** In establishing connectedness based on economic interdependence, an NBFC shall consider, at a minimum, the following criteria:

(a) Where 50 per cent or more of one counterparty's gross receipts or gross expenditure (on an annual basis) is derived from transactions with the other counterparty.

(b) Where one counterparty has fully or partly guaranteed the exposure of the other counterparty, or is liable by other means, and the exposure is so significant that the guarantor is likely to default if a claim occurs.

(c) Where a significant part of one counterparty's production / output is sold to another counterparty, which cannot easily be replaced by other customers.

(d) When the expected source of funds to repay the loans of both counterparties is the same and neither counterparty has another independent source of income from which the loan may be serviced and fully repaid.

(e) Where it is likely that the financial problems of one counterparty would cause difficulties for the other counterparties in terms of full and timely repayment of liabilities.

(f) Where the insolvency or default of one counterparty is likely to be associated with the insolvency or default of the other(s).

(g) When two or more counterparties rely on the same source for the majority of their funding and, in the event of the common provider's default, an alternative provider cannot be found, in this case the funding problems of one counterparty are likely to

spread to another due to a one-way or two-way dependence on the same main funding source.

(h) In order to avoid cases where a thorough investigation of economic interdependencies will not be proportionate to the size of the exposures, an NBFC is expected to identify possible connected counterparties on the basis of economic interdependence in all cases where the sum of all exposures to one individual counterparty exceeds five per cent of the eligible capital base, and not in other cases.

(4) "**Infrastructure lending**" means a credit facility extended by an NBFC to a borrower, by way of term loan, project loan subscription to bonds/debentures/preference shares/equity shares in a project company acquired as a part of the project finance package such that subscription amount to be "in the nature of advance" or any other form of long term funded facility for exposure in the infrastructure sub-sectors as notified by the Department of Economic Affairs, Ministry of Finance, Government of India, from time to time.

(5) "**Large Exposure**" means the sum of all exposure values of a NBFC-UL measured in terms of paragraph 41, to a counterparty and / or a group of connected counterparties, if it is equal to or above 10 per cent of the NBFC-UL's eligible capital base.

(6) "**NOFHC**" means a non-deposit taking NBFC referred to in the Reserve Bank of India (Non-Operative Financial Holding Company) Directions, 2025, issued by the Reserve Bank, which holds the shares of a banking company and the shares of all other financial services companies in its group, whether regulated by the Reserve Bank or by any other financial regulator, to the extent permissible under the applicable regulatory prescriptions.

(7) [1]["**Owned Fund**" shall have the same meaning as given in Chapter II of the Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Directions, 2025.]

(8) [2]["**Tier 1 capital**" shall have the same meaning as given in Chapter II of the Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital

[1] Inserted with effect from March 10, 2026, vide Reserve Bank of India (Non-Banking Financial Companies - Concentration Risk Management) Second Amendment Directions, 2026 dated March 10, 2026.
[2] Inserted with effect from March 10, 2026, vide Reserve Bank of India (Non-Banking Financial Companies - Concentration Risk Management) Second Amendment Directions, 2026 dated March 10, 2026.

Adequacy) Directions, 2025. However, for the purpose of concentration norms, the NBFC shall obtain an external auditor's certificate on completion of the augmentation of capital and submit the same to the Department of Supervision of the RBI before reckoning the additions to capital funds.]

5. All other expressions unless defined herein shall have the same meaning as have been assigned to them under the Banking Regulation Act, 1949 or the Reserve Bank of India Act, 1934 or any statutory modification or re-enactment thereto or as used in commercial parlance, as the case may be.

Chapter II - Guidelines Applicable to NBFC – Base Layer

A. Role of the Board

6. An NBFC in the base layer shall put in place comprehensive Board-approved policy on concentration risk management, which shall inter-alia include.

(1) Credit / investment concentration limits for both single borrower / party and single group of borrowers / parties.

(2) Limits in respect of various sub-segments under consumer credit, particularly limits for unsecured consumer credit exposures.

B. Credit / investment concentration norms

7. An NBFC which is held by an NOFHC shall not

(1) have any exposure (credit and investments including investments in the equity / debt capital instruments) to the Promoters / Promoter Group entities or individuals associated with the Promoter Group or the NOFHC;

(2) make investment in the equity / debt capital instruments in any of the financial entities under the NOFHC; and

(3) invest in equity instruments of other NOFHCs.

Explanation: For the purposes of this paragraph, the expression, 'Promoter' and 'Promoter Group' shall have the meanings assigned to those expressions in the Reserve Bank of India (Non-Operative Financial Holding Company) Directions, 2025.

8. An NBFC shall put in place an internal Board-approved policy for credit / investment concentration limits for both single borrower / party and single group of borrowers / parties. Computation of exposure shall be on similar lines as that for NBFC-ML as given at Chapter III.

B.1 Strengthening credit standards

9. An NBFC shall review its extant sectoral exposure limits for consumer credit and put in place, Board approved limits in respect of various sub-segments under consumer credit as may be considered necessary by the Board as part of prudent risk management. In particular, limits shall be prescribed for all unsecured consumer credit exposures. The limits

so fixed shall be strictly adhered to and monitored on an ongoing basis by the Risk Management Committee.

10. All top-up loans extended by an NBFC against movable assets which are inherently depreciating in nature, such as vehicles, shall be treated as unsecured loans for credit appraisal, prudential limits and exposure purposes.

B.2 Ceiling on IPO Funding

11. There shall be a ceiling of ₹1 crore per borrower for financing subscription to Initial Public Offer (IPO). An NBFC can fix more conservative limits.